Exercise 4 • Multi-Step Income Statement

# Hawkins Partners Income Statement & Inventory Adjustments

Original statement · T3_Financial Statements_EXERCISES.pdf, p. 2

*Prepare the Income Statement for Hawkins Partners using the following figures and knowing that corporate tax applicable rate is 30% (figures in euros):*
*1. Initial inventory: 600 | 2. Purchase of goods (sold 100%): 84.000 | 3. Rental costs: 1.000 | 4. Property sold to another company (income): 10.500 | 5. Interests received: 15.200 | 6. Interests from long-term debt: 5.500 | 7. Wages and salaries: 12.700 | 8. Water, gas and electricity: 1.200 | 9. Sales: 130.800 | 10. Inventory at end of period: 500.*

EXAM DAY STRATEGY: INVENTORY VARIATION, EXTRAORDINARY GAINS & MULTI-STEP P&L

- **Standard Multi-Step P&L Structure:**

$$\text{Sales Revenue} \overset{-\text{COGS}}{\longrightarrow} \text{Gross Profit} \overset{-\text{Op. Expenses}}{\longrightarrow} \text{EBIT} \overset{+\text{Non-Op}\pm\text{Financial}}{\longrightarrow} \text{EBT} \overset{-\text{Taxes}}{\longrightarrow} \text{Net Income}$$

- **Cost of Goods Sold (COGS) Identity:**

$$\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$$

$$\text{COGS} = 600 + 84,000 - 500 = \mathbf{84,100}\ €$$

*Economic intuition:* Ending inventory dropped by 100 € ($600 - 500$). This inventory depletion was sold to customers, so it must be added to purchases ($84,000 + 100 = 84,100$).

- **Exam Trap 1 – Extraordinary Property Sale:** "Property sold to another company (€10,500)" is a capital gain from the disposal of a non-current asset, **NOT regular commercial turnover**! It must NOT be mixed into operating sales, but placed under **Non-Operating / Extraordinary Income**.
- **Exam Trap 2 – Financial Interests Separation:** "Interests received (€15,200)" is financial income; "Interests from long-term debt (€5,500)" is financial expense. Net Financial Result $= +15,200 - 5,500 = +\mathbf{9,700}$ €.
- **Exam Trap 3 – Corporate Tax Base:** Apply the 30% tax rate to **EBT** (€52,000), NEVER to EBIT (€31,800). Corporate income tax covers all profits: operating, extraordinary, and financial.

## Phase 1: Step-by-Step Arithmetic Deductions

1. **Cost of Goods Sold (COGS):**

$$\text{COGS} = \text{Initial Inventory} + \text{Purchases} - \text{Ending Inventory} = 600 + 84,000 - 500 = \mathbf{84,100}\ €$$

2. **Gross Profit (Margen Bruto):**

$$\text{Gross Profit} = \text{Sales Revenue} - \text{COGS} = 130,800 - 84,100 = \mathbf{46,700}\ €$$

3. **Operating Expenses (Gastos de Explotación):**

$$\begin{aligned} \text{Wages and salaries} &= 12,700\ € \\ \text{Rental costs} &= 1,000\ € \\ \text{Water, gas and electricity (Utilities)} &= 1,200\ € \\ \hline \text{Total Operating Expenses} &= 12,700 + 1,000 + 1,200 = \mathbf{14,900}\ € \end{aligned}$$

4. **Operating Income / EBIT (Resultado de Explotación):**

$$\text{EBIT} = \text{Gross Profit} - \text{Operating Expenses} = 46,700 - 14,900 = \mathbf{31,800}\ €$$

5. **Non-Operating & Financial Items (Resultados Financieros y Extraordinarios):**

$$\begin{aligned} \text{Gain on property sold (Non-operating)} &= +10,500\ € \\ \text{Interests received (Financial income)} &= +15,200\ € \\ \text{Interests on debt (Financial expense)} &= -5,500\ € \\ \hline \text{Net Non-Operating \& Financial} &= +10,500 + 15,200 - 5,500 = +\mathbf{20,200}\ € \end{aligned}$$

6. **Earnings Before Taxes / EBT (Resultado Antes de Impuestos):**

$$\text{EBT} = \text{EBIT} + \text{Net Non-Operating \& Financial} = 31,800 + 20,200 = \mathbf{52,000}\ €$$

7. **Corporate Income Tax** $(30\%)$ **and Net Profit:**

$$\text{Corporate Tax} = 30\% \times \text{EBT} = 0.30 \times 52,000 = \mathbf{15,600}\ €$$

$$\text{Net Income (Net Profit)} = \text{EBT} - \text{Corporate Tax} = 52,000 - 15,600 = \mathbf{36,400}\ €$$

## Phase 2: Formal Multi-Step Income Statement

| HAWKINS PARTNERS – INCOME STATEMENT | Detail (€) | Amount (€) |
|---|---|---|
| Sales Revenue (Turnover) | | 130,800 |
| (-) Cost of Goods Sold (COGS) | | (84,100) |
| • Initial inventory | 600 | |
| • Purchases of merchandise | 84,000 | |
| • (-) Ending inventory | (500) | |
| **= GROSS PROFIT (Margen Bruto)** | | **46,700** |
| (-) Operating Expenses | | (14,900) |
| • Personnel (Wages and salaries) | (12,700) | |
| • Rental costs | (1,000) | |
| • Utilities (Water, gas, electricity) | (1,200) | |
| **= OPERATING INCOME / EBIT (Resultado de Explotación)** | | **31,800** |
| (+) Extraordinary Gain: Property sold to another company | | +10,500 |
| (+) Financial Income: Interests received | | +15,200 |
| (-) Financial Expenses: Interests on long-term debt | | (5,500) |
| **= EARNINGS BEFORE TAXES / EBT (Resultado Antes de Impuestos)** | | **52,000** |
| (-) Corporate Income Tax (30%) | | (15,600) |
| **NET INCOME / NET PROFIT (Resultado del Ejercicio)** | | **36,400** |

ECONOMIC MARGIN INSIGHTS

**Gross Margin:** $\frac{\text{Gross Profit}}{\text{Sales}} = \frac{46,700}{130,800} = \mathbf{35.70\%}$

**Operating Margin (ROS):** $\frac{\text{EBIT}}{\text{Sales}} = \frac{31,800}{130,800} = \mathbf{24.31\%}$

**Net Margin:** $\frac{\text{Net Income}}{\text{Sales}} = \frac{36,400}{130,800} = \mathbf{27.83\%}$ (Boosted significantly by extraordinary property gain and financial investments).

Study notes written from the official course material (T3_Financial Statements_EXERCISES.pdf; Topic 3 Financial Management (I).pdf). Online version: subjects/business-management/problemas/topic-3-financial-statements.html